KCB GROUP PLC
UN-AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES FOR THE PERIOD ENDED 31 MARCH 2024

	KCB BANK KENYA			NATIONAL BANK OF KENYA			KCB GROUP PLC COMPANY			KCB GROUP PLC CONSOLIDATED		
	31-Mar-24 Kshs 000 Un-audited	31-Dec-23 Kshs 000 Audited	31-Mar-23 Kshs 000 Un-audited	31-Mar-24 Kshs 000 Un-audited	31-Dec-23 Kshs 000 Audited	31-Mar-23 Kshs 000 Un-audited	31-Mar-24 Kshs 000 Un-audited	31-Dec-23 Kshs 000 Audited	31-Mar-23 Kshs 000 Un-audited	31-Mar-24 Kshs 000 Un-audited	31-Dec-23 Kshs 000 Audited	31-Mar-23 Kshs 000 Un-audited
I. STATEMENT OF FINANCIAL POSITION												
A. ASSETS												
1. Cash (both Local & Foreign)	8,477,716	12,004,831	7,012,428	1,188,646	2,093,761	1,355,093	-	-	-	33,631,297	33,872,211	30,475,370
2. Balances due from Central Bank of Kenya	41,177,966	37,025,707	28,587,984	4,308,112	6,115,301	5,890,587	-	-	-	45,486,078	43,141,008	34,478,571
3. Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-	-	-	-	-	-	-
4. Financial Assets at fair value through profit and loss												
Investment securities:												
5. a) Held at amortized cost: a. Kenya Government securities	141,913,697	141,142,941	126,338,375	22,368,159	23,798,376	24,382,348	-	-	-	164,767,350	165,397,160	151,179,265
b. Other securities	-	-	-	303,928	295,081	303,831	-	-	-	25,359,088	31,530,068	31,263,261
b) Fair value through OCI: a. Kenya Government securities	162,976,441	160,391,132	77,326,775	23,221,547	22,212,977	22,827,274	-	-	-	187,128,296	183,500,472	100,922,453
b. Other securities	2,024,175	1,962,601	2,126,118	-	-	-	-	-	-	15,785,557	16,774,484	14,353,641
6. Deposits and balances due from local banking institutions	5,603,872	-	2,252,893	4,356,609	6,095,778	1,650,663	1,175,065	926,902	622,880	8,972,002	6,095,778	3,904,315
7. Deposits and balances due from banking institutions abroad	148,976,787	222,625,002	7,198,603	1,106,684	2,457,670	4,937,748	-	-	-	327,369,136	423,401,851	185,575,950
8. Tax recoverable	-	-	-	267,867	275,374	-	113,188	113,188	90,291	-	-	-
9. Loans and advances to customers (net)	698,236,955	740,241,723	654,659,988	81,867,746	79,483,476	74,668,415	-	-	-	1,017,419,109	1,095,943,714	928,824,144
10. Balances due from group companies	9,628,304	8,151,025	7,624,757	192,714	29,692	28,406	944,483	5,969,547	1,312,658	-	-	-
11. Investments in associates	590,558	590,558	446,875	888,910	989,304	727,492	-	-	-	1,479,468	1,579,861	1,174,367
12. Investments in subsidiary companies	-	-	-	5,000	5,000	24,963	114,280,238	114,280,238	114,270,238	-	-	-
13. Investments in joint ventures	-	-	-	-	-	-	-	-	-	-	-	-
14. Investment properties	12,600,607	12,600,607	12,600,607	-	-	-	-	-	-	17,985,406	19,190,742	12,600,607
15. Property and equipment	11,002,744	11,388,392	10,937,588	1,780,947	1,890,183	2,023,957	866,007	840,667	824,217	24,139,568	26,885,118	31,032,505
16. Prepaid lease rentals	113,908	114,532	116,403	-	-	-	-	-	-	119,153	119,789	121,683
17. Intangible assets	3,153,559	3,155,620	3,129,802	1,292,143	995,902	431,274	979	1,491	3,039	16,429,333	19,324,498	22,328,404
18. Deferred tax asset	28,481,309	29,773,610	21,093,450	6,737,478	6,786,926	4,595,976	77,956	77,956	109,865	37,084,425	38,463,248	27,070,553
19. Retirement benefit asset	-	-	-	-	-	-	-	-	-	-	-	-
20. Other assets	52,879,872	44,201,546	34,091,236	7,064,296	7,581,563	7,725,036	35,837	88,959	88,257	73,040,552	65,653,989	55,298,733
21. TOTAL ASSETS	**1,327,838,470**	**1,425,369,827**	**995,543,882**	**156,950,786**	**161,106,364**	**151,573,063**	**117,493,753**	**122,298,948**	**117,321,445**	**1,996,195,818**	**2,170,873,991**	**1,630,603,822**
B. LIABILITIES												
22. Balances due to Central Bank of Kenya	55,155,966	44,054,813	20,966,128	18,766,735	10,022,068	13,951,314	-	-	-	73,095,080	57,374,970	34,917,442
23. Customer deposits	997,078,186	1,116,875,397	728,530,697	105,443,195	118,307,630	99,786,755	-	-	-	1,501,007,203	1,690,908,411	1,196,587,247
24. Deposits and balances due to local banking institutions	10,378,822	2,841,913	12,953,768	5,623,098	1,437,359	5,780,801	-	-	-	15,551,679	6,833,383	18,479,541
25. Deposits and balances due to foreign banking institutions	6,184,931	9,571,500	10,075,378	944,522	3,721,647	9,289,831	-	-	-	21,023,857	23,601,108	42,509,059
26. Other money market deposits	-	-	-	-	-	-	-	-	-	-	-	-
27. Borrowed funds	64,882,049	75,277,742	58,125,397	4,605,349	5,509,747	4,643,551	-	-	-	76,093,644	88,658,067	62,636,131
28. Balances due to group companies	2,131,625	1,072,354	-	121,615	103,494	122,223	6,690,378	11,170,103	3,975,000	-		-
29. Tax payable	3,265,060	1,265,190	1,418,775	-	-	92,397	-	-	-	5,722,851	3,667,590	4,420,671
30. Dividends payable	-	-	3,213,463	-	-	-	-	-	-	-		-
31. Deferred tax liability	-	-	-	-	-	-	-	-	-	2,831,235	3,458,836	4,492,295
32. Retirement benefit liability	601,000	601,000	585,000	-	-	-	-	-	-	601,000	601,000	1,036,399
33. Other liabilities	37,018,978	35,092,114	35,065,774	10,282,497	11,431,352	2,868,298	521,056	625,186	508,988	61,696,378	60,209,732	50,679,309
34. TOTAL LIABILITIES	**1,176,696,617**	**1,286,652,023**	**870,934,380**	**145,787,011**	**150,533,297**	**136,535,170**	**7,211,434**	**11,795,289**	**4,483,988**	**1,757,622,927**	**1,935,313,097**	**1,415,758,094**
C. SHAREHOLDERS' FUNDS												
35. Paid up/Assigned capital	53,986,100	53,986,100	53,986,100	12,683,038	12,683,038	12,683,038	3,213,463	3,213,463	3,213,463	3,213,463	3,213,463	3,213,463
36. Share premium/(discount)	-	-	-	3,141,319	3,141,319	3,141,319	27,690,149	27,690,149	27,690,149	27,690,149	27,690,149	27,690,149
37. Revaluation reserves	-	-	-	-	-	-	-	-	-	-	-	2,487,666
38. Retained earnings/Accumulated losses	97,198,486	77,018,593	52,348,784	(5,904,116)	(6,939,156)	(4,433,806)	79,378,707	79,600,047	75,506,919	220,599,605	196,151,469	154,543,615
39. Statutory loan loss reserve	8,599,833	17,609,858	23,318,826	3,056,479	3,647,302	4,584,996	-	-	-	7,139,215	17,152,294	24,850,534
40. Other Reserves/Re-measurement of defined benefit asset/liability	(8,642,566)	(9,896,747)	(5,044,208)	(1,812,945)	(1,959,436)	(937,654)	-	-	-	(27,187,553)	(16,684,337)	(11,067,418)
41. Proposed dividends	-	-	-	-	-	-	-	-	6,426,926	-		6,426,926
42. Capital grants	-	-	-	-	-	-	-	-	-	-	-	-
43. TOTAL SHAREHOLDERS' FUNDS	**151,141,853**	**138,717,804**	**124,609,502**	**11,163,775**	**10,573,067**	**15,037,893**	**110,282,319**	**110,503,659**	**112,837,457**	**231,454,879**	**227,523,038**	**208,144,935**
44. Minority Interest	-	-	-	-	-	-	-	-	-	7,118,012	8,037,857	6,700,793
45. TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	**1,327,838,470**	**1,425,369,827**	**995,543,882**	**156,950,786**	**161,106,364**	**151,573,063**	**117,493,753**	**122,298,948**	**117,321,445**	**1,996,195,818**	**2,170,873,992**	**1,630,603,822**
II. STATEMENT OF COMPREHENSIVE INCOME												
1. INTEREST INCOME												
1.1. Loans and advances	22,195,431	74,671,015	15,564,523	2,352,783	7,590,011	1,708,699	-	-	-	33,634,690	121,633,439	24,694,179
1.2. Government securities	10,667,203	32,498,604	6,292,972	1,471,620	5,642,888	1,386,535	-	-	-	13,322,430	42,685,815	8,780,611
1.3. Deposits and placements with banking institutions	1,266,489	2,629,985	10,839	35,105	125,673	7,182	10,707	33,709	7,324	2,129,776	3,855,694	137,762
1.4. Other Interest Income	-	-	-	8,846	35,501	8,749	75,499	218,051	-	-	-	-
1.5 Total interest income	**34,129,123**	**109,799,604**	**21,868,334**	**3,868,354**	**13,394,073**	**3,111,165**	**86,206**	**251,760**	**7,324**	**49,086,896**	**168,174,948**	**33,612,552**
2. INTEREST EXPENSE												
2.1. Customer deposits	10,424,954	32,241,049	5,755,304	1,090,499	3,912,421	833,018	-	-	-	13,077,168	41,824,359	7,803,278
2.2. Deposits and placement from banking institutions	3,133,340	12,492,319	2,192,142	295,545	1,186,173	363,456	73,037	-	-	4,848,031	18,544,986	3,654,065
2.3. Other interest expenses	64,227	291,444	76,474	100,806	391,432	48,155	-	218,051	-	97,058	471,620	95,250
2.4. Total interest expenses	**13,622,521**	**45,024,812**	**8,023,920**	**1,486,850**	**5,490,026**	**1,244,629**	**73,037**	**218,051**	**-**	**18,022,257**	**60,840,965**	**11,552,593**
3. NET INTEREST INCOME/(LOSS)	**20,506,602**	**64,774,792**	**13,844,414**	**2,381,504**	**7,904,047**	**1,866,536**	**13,169**	**33,709**	**7,324**	**31,064,639**	**107,333,983**	**22,059,959**
4. OTHER OPERATING INCOME												
4.1 Fees and commissions on loans and advances	2,120,661	10,072,187	2,726,701	90,694	302,143	86,140	-	-	-	2,813,468	11,400,891	2,720,692
4.2. Other fees and commissions	3,327,555	11,644,226	2,718,609	439,200	1,366,559	286,576	-	-	-	7,220,827	27,027,250	7,080,655
4.3. Foreign exchange trading income	4,006,299	7,276,984	1,919,861	378,538	952,087	259,354	(168,141)	31,446	11,122	4,795,028	10,844,304	2,646,032
4.4. Dividend Income	-	-	-	-	51,144	51,144	-	1,091,168	-	-	-	-
4.5. Other income	789,350	4,332,503	1,143,429	(21,784)	596,877	172,993	251,474	1,328,965	347,419	2,593,871	8,632,280	2,342,914
4.6. Total other operating income	**10,243,865**	**33,325,900**	**8,508,600**	**886,648**	**3,268,810**	**856,207**	**83,333**	**2,451,579**	**358,541**	**17,423,194**	**57,904,725**	**14,790,293**
5. TOTAL OPERATING INCOME	**30,750,467**	**98,100,692**	**22,353,014**	**3,268,152**	**11,172,857**	**2,722,743**	**96,502**	**2,485,288**	**365,865**	**48,487,833**	**165,238,708**	**36,850,252**
6. OTHER OPERATING EXPENSES												
6.1. Loan loss provision	4,710,108	25,063,168	3,319,686	548,445	3,057,378	407,394	-	-	-	6,318,369	33,635,567	4,118,282
6.2. Staff costs	5,484,271	19,851,859	5,126,629	1,243,569	5,272,805	1,303,881	84,572	613,127	266,776	9,651,025	38,143,333	9,359,554
6.3. Directors' emoluments	48,026	488,337	145,992	5,854	25,998	7,680	84,914	348,150	11,850	282,829	670,453	236,355
6.4. Rental charges	49,569	236,405	87,385	44,344	190,589	45,063	-	-	-	174,174	414,837	199,006
6.5. Depreciation charge on property and equipment	629,370	2,364,178	529,009	144,289	534,061	138,332	4,591	17,913	4,383	1,954,345	7,055,594	1,154,647
6.6. Amortisation charges	433,906	1,672,743	379,975	34,662	162,032	50,273	512	2,054	506	542,971	2,273,074	525,301
6.7. Other operating expenses	4,775,691	15,171,823	3,551,461	806,406	6,207,380	647,433	140,790	702,207	193,710	8,406,457	34,593,750	7,403,051
6.8. Total other operating expenses	**16,130,941**	**64,848,513**	**13,140,137**	**2,827,569**	**15,450,243**	**2,600,056**	**315,379**	**1,683,451**	**477,225**	**27,330,170**	**116,786,608**	**22,996,196**
7. Profit/(loss) before tax and exceptional items	**14,619,526**	**33,252,179**	**9,212,877**	**440,583**	**(4,277,386)**	**122,687**	**(218,877)**	**801,837**	**(111,360)**	**21,157,663**	**48,452,100**	**13,854,056**
8. Exceptional items	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
9. Profit/(loss) after exceptional items	**14,619,526**	**33,252,179**	**9,212,877**	**440,583**	**(4,277,386)**	**122,687**	**(218,877)**	**801,837**	**(111,360)**	**21,157,663**	**48,452,100**	**13,854,056**
10. Current tax	(2,003,141)	(15,493,212)	(3,726,665)	(9,700)	(924,045)	(128,030)	-	(1,625)	-	(3,369,519)	(21,595,476)	(5,435,484)
11. Deferred tax	(1,447,073)	7,651,047	962,967	13,333	1,859,518	106,475	-	(31,909)	-	(1,303,498)	10,604,916	1,334,238
12. Profit/(loss) after tax and exceptional items	**11,169,312**	**25,410,014**	**6,449,179**	**444,216**	**(3,341,913)**	**101,132**	**(218,877)**	**768,303**	**(111,360)**	**16,484,646**	**37,461,540**	**9,752,810**
13. Minority Interest	-	-	-	-	-	-	-	-	-	425,492	1,285,591	249,381
14. Profit/(loss) after tax and exceptional items and Minority Interest	**11,169,312**	**25,410,014**	**6,449,179**	**444,216**	**(3,341,913)**	**101,132**	**(218,877)**	**768,303**	**(111,360)**	**16,059,154**	**36,175,949**	**9,503,429**
15. Other Comprehensive income:												
15.1. Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	-	-	-	(14,381,948)	1,957,396	(634,007)
15.2. Fair value changes in available-for-sale financial assets	1,791,688	(8,228,538)	(1,212,340)	209,273	(1,678,508)	(218,819)	-	-	-	1,988,189	(9,974,286)	(5,725,056)
15.3. Re-measurement of defined benefit pension fund	-	84,000	-	-	-	-	-	-	-	-	84,000	-
15.4. Share of other comprehensive income of associates	-	-	-	-	-	-	-	-	-	-	-	-
15.5. Income tax relating to components of other comprehensive income	(537,506)	2,443,361	363,702	(62,782)	503,552	65,646	-	-	-	(596,457)	2,967,086	1,717,517
16. Other comprehensive income for the year net of tax	**1,254,182**	**(5,701,177)**	**(848,638)**	**146,491**	**(1,174,956)**	**(153,173)**	**-**	-	-	**(12,990,216)**	**(4,965,804)**	**(4,641,546)**
17. Total comprehensive income for the year	**12,423,494**	**19,708,837**	**5,600,541**	**590,707**	**(4,516,869)**	**(52,041)**	**(218,877)**	**768,303**	**(111,360)**	**3,068,938**	**31,210,145**	**4,861,883**
18. EARNINGS PER SHARE - DILUTED & BASIC KSHS	**0.83**	**0.47**	**0.48**	**0.09**	**(0.71)**	**(0.02)**	**(0.27)**	**0.24**	**(0.14)**	**20.52**	**11.66**	**12.61**
19. DIVIDEND PER SHARE - DECLARED KSHS	**-**	**-**	**-**	**-**	**-**	**-**				**-**	**-**	**-**
III. OTHER DISCLOSURES												
1. NON-PERFORMING LOANS AND ADVANCES												
a) Gross Non-performing loans and advances	164,070,581	166,261,943	138,947,180	24,881,990	25,186,337	20,826,579				205,318,761	208,298,144	176,470,712
b) Less Interest in Suspense	21,941,056	19,536,792	12,127,998	2,663,275	2,719,289	2,597,208				25,286,014	22,851,247	15,333,322
c) Total Non-Performing Loans and Advances (a-b)	**142,129,525**	**146,725,151**	**126,819,182**	**22,218,715**	**22,467,048**	**18,229,371**				**180,032,747**	**185,446,897**	**161,137,390**
d) Less Loan Loss Provision	78,792,203	83,222,474	65,749,112	11,613,947	11,773,029	10,696,228				102,057,355	107,322,266	85,716,325
e) Net Non-Performing Loans and Advances(c-d)	**63,337,322**	**63,502,677**	**61,070,070**	**10,604,768**	**10,694,019**	**7,533,143**				**77,975,392**	**78,124,631**	**75,421,065**
f) Discounted Value of Securities	55,193,127	51,484,289	56,543,010	9,507,406	9,814,256	7,032,471				67,924,586	65,970,265	73,544,910
g) Net NPLs Exposure (e-f)	**8,144,195**	**12,018,388**	**4,527,060**	**1,097,362**	**879,763**	**500,672**				**10,050,806**	**12,154,366**	**1,876,155**
2. INSIDER LOANS AND ADVANCES												
a) Directors, Shareholders and Associates	13,641,139	20,758,516	16,381,229	58	78	51				16,500,963	24,725,772	19,125,813
b) Employees	14,231,187	14,114,560	14,717,824	4,981,680	5,126,033	5,700,537				22,292,248	22,637,840	23,335,422
c) Total Insider Loans and Advances and other facilities	**27,872,326**	**34,873,076**	**31,099,053**	**4,981,738**	**5,126,111**	**5,700,588**				**38,793,211**	**47,363,612**	**42,461,235**
3. OFF-BALANCE SHEET ITEMS												
a) Letters of credit,guarantees, acceptances	207,009,945	452,930,457	180,131,434	13,847,281	16,359,516	9,067,134				266,599,993	526,316,695	241,490,117
b) Forwards, swaps and options	4,569,937	5,181,610	16,378,420	138,788	15,700	5,390,978				4,806,591	5,383,047	23,520,012
c) Other contingent liabilities	-	-	-	-	-	-				-	-	-
d) Total Contingent Liabilities	**211,579,882**	**458,112,067**	**196,509,854**	**13,986,069**	**16,375,216**	**14,458,112**				**271,406,584**	**531,699,742**	**265,010,129**
4. CAPITAL STRENGTH												
a) Core capital	131,678,616	114,331,552	92,327,887	9,001,002	8,183,125	10,857,004				239,569,114	209,384,441	179,653,980
b) Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000				1,000,000	1,000,000	1,000,000
c) Excess (a-b)	**130,678,616**	**113,331,552**	**91,327,887**	**8,001,002**	**7,183,125**	**9,857,004**				**238,569,114**	**208,384,441**	**178,653,980**
d) Supplementary Capital	**30,980,333**	**39,256,396**	**35,598,290**	**5,341,344**	**5,457,095**	**5,173,780**				**33,467,564**	**48,401,957**	**45,667,501**
e) Total Capital (a+d)	**162,658,949**	**153,587,948**	**127,926,177**	**14,342,346**	**13,640,220**	**16,030,784**				**273,036,678**	**257,786,398**	**225,321,481**
f) Total risk weighted assets	930,968,153	971,783,711	833,863,162	111,479,582	109,242,549	96,085,038				1,364,171,323	1,477,535,129	1,321,582,701
g) Core Capital/Total deposits Liabilities	**13.1%**	**10.1%**	**12.5%**	**8.5%**	**6.7%**	**10.5%**				**15.6%**	**14.2%**	**15.0%**
h) Minimum statutory Ratio	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%				8.0%	8.0%	8.0%
i) Excess	**5.1%**	**2.1%**	**4.5%**	**0.5%**	**(1.3%)**	**2.5%**				**7.6%**	**6.2%**	**7.0%**
j) Core Capital / total risk weighted assets	**14.1%**	**11.8%**	**11.1%**	**8.1%**	**7.5%**	**11.3%**				**17.6%**	**12.2%**	**13.6%**
k) Minimum Statutory Ratio	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%				10.5%	10.5%	10.5%
l) Excess (j-k)	**3.6%**	**1.3%**	**0.6%**	**(2.4%)**	**(3.0%)**	**0.8%**				**7.1%**	**1.7%**	**3.1%**
m) Total Capital/total risk weighted assets	**17.5%**	**15.8%**	**15.3%**	**12.9%**	**12.5%**	**16.7%**				**20.0%**	**17.4%**	**17.0%**
n) Minimum statutory Ratio	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%				14.5%	14.5%	14.5%
o) Excess (m-n)	**3.0%**	**1.3%**	**0.8%**	**(1.6%)**	**(2.0%)**	**2.2%**				**5.5%**	**2.9%**	**2.5%**
5. LIQUIDITY												
a) Liquidity Ratio	**43.8%**	**46.2%**	**28.1%**	**30.6%**	**43.5%**	**36.3%**				**47.9%**	**48.5%**	**43.7%**
b) Minimum Statutory Ratio	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%				20.0%	20.0%	20.0%
c) Excess (a-b)	**23.8%**	**26.2%**	**8.1%**	**10.6%**	**23.5%**	**16.3%**				**27.9%**	**28.5%**	**23.7%**

Message from the Directors:

The above financial statements are extracts from the book of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institution's website www.kcbgroup.com. They may also be accessed at the institutions Head Office located at Kencom House, Moi Avenue, Nairobi, Kenya. The financial statements were approved by the Board of Directors on Wednesday, 22 May 2024 and were signed on its behalf by: **FCS Dr. Joseph Kinyua, EGH -** Group Chairman | **Paul Russo, EBS** - Group Chief Executive Officer.